Where study and experience indicate that an appreciable chance of loss must be recognized and allowed for, we have a speculative situation.

A *satisfactory return* is a wider expression than *adequate income*, since it allows for capital appreciation or profit as well as current interest or dividend yield. "Satisfactory" is a subjective term; it covers any rate or amount of return, however low, which the investor is willing to accept, provided he acts with reasonable intelligence.

It may be helpful to elaborate our definition from a somewhat different angle, which will stress the fact that investment must always consider the *price* as well as the *quality* of the security. Strictly speaking, there can be no such thing as an "investment issue" in the absolute sense, *i.e.*, implying that it remains an investment regardless of price. In the case of high-grade bonds, this point may not be important, for it is rare that their prices are so inflated as to introduce serious risk of loss of principal. But in the common-stock field this risk may frequently be created by an undue advance in price—so much so, indeed, that in our opinion the great majority of common stocks of strong companies must be considered speculative during most of the time, simply because their price is too high to warrant safety of principal in any intelligible sense of the phrase. We must warn the reader that prevailing Wall Street opinion does not agree with us on this point; and he must make up his own mind which of us is wrong.

Nevertheless, we shall embody our principle in the following additional criterion of investment:

> *An investment operation is one that can be justified on* both *qualitative and quantitative grounds.*

The extent to which the distinction between investment and speculation may depend upon the underlying facts, including the element of price, rather than on any easy generalization, may be brought home in somewhat extreme fashion by two contrasting examples based upon General Electric Special (*i.e.*, Preferred) stock, which occurred in successive months.

Example 1: In December 1934 this issue sold at 12¾. It paid 6% on $10 par and was callable on any dividend date at 11. In spite of the preeminent quality of this issue, as far as safety of dividends was concerned, the buyer at 12¾ was *speculating* to the extent of more than 10% of his